leadership transition. But under Deng Xiaoping, who emerged as the country's leader, the communist country undertook economic reforms and established Special Economic Zones (SEZs) that enabled China to experiment with open trade and market economics. [2] US businesses and those of its allies, including Japan, pumped in investment, fuelling this initial growth of the Chinese economy, which also benefited from earlier Chinese investments in human capital, including in public health and primary education. Cooperation between Beijing and Washington also extended to the military and intelligence realms. [3]

China's crackdown against protestors in Beijing's Tiananmen Square in 1989, in the context of the PRC's second leadership transition, proved an inflection point. [4] By the late 1980s, single-party rule was already collapsing in the Soviet satellite states of Europe—including East Germany, Czechoslovakia, Poland, and Hungary. But rather than add to the pressure on China, the US government of George H.W. Bush opted to dilute sanctions and preserve good relations with Beijing. There were several reasons for this: commercial factors certainly contributed, as did lingering concerns about the necessity of the US–China partnership to balance the Soviet Union. [5] Although the US–China military relationship never recovered, economic ties only strengthened.

Throughout the 1990s and early 2000s, there were continuing reminders of the differences between the United States and China. These included the 1995–96 Taiwan Straits Crisis, the 1999 bombing by the United States of the Chinese Embassy in Belgrade, and the 2000 Hainan Island incident that saw the collision of military aircraft. Nonetheless, many in the United States were convinced that a stable political relationship with China and growing economic interdependence would advance American interests and lead to China's eventual political liberalization. This proved only partly correct: the United States was able to grow and prosper. But China benefited more, and in relative terms it managed to narrow the power gap with the United States. Moreover, the leadership of China seemed intent on displacing the United States as the world's premier power. [6]